US Equity Derivatives Strategy

Take a breadth: Is 'spot up, vol up' really a bad thing?

Global Strategy

Americas

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'Spot up, vol up' historically not a good sign – but we can better embrace it if breadth is also increasing

We suggested late last week that the market appeared much healthier post de-risking. The sharp pace of re-risking earlier this week, however, further bolsters our case for elevated implied volatility over the next several weeks into NVDA earnings + Jackson Hole at the end of this month, and September FOMC.

Risk still appears balanced on some measures, and less so on others – Volatility Control + CTA are still middling in terms of their exposure, though leveraged ETF exposures have retraced notably higher (albeit still off their June peak). Record SPX call demand has manifested in market makers being left locally short upside gamma, which could exacerbate a squeeze higher if upside persists.

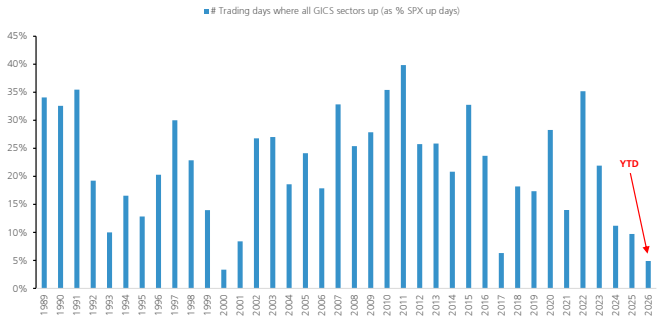
While this exuberance-led 'spot up, vol up' dynamic has historically signaled forward market instability, if the broader market is rallying sharply as a function of increased breadth, then we would be less concerned – spot up, correlation up > spot up, vol up, in line with our views set out in our 2026 Volatility Outlook.

Investors who believe 'spot up, vol up, correlation up' will persist may consider SPX call ratio backspreads despite a now more expensive upside call wing (SPX 2m ATM-25d call skew in the15th %-ile over the last 5y). We also continue to favor VIX Sep put trees.

Trade idea to consider (pricing indicative a/o 06 August):

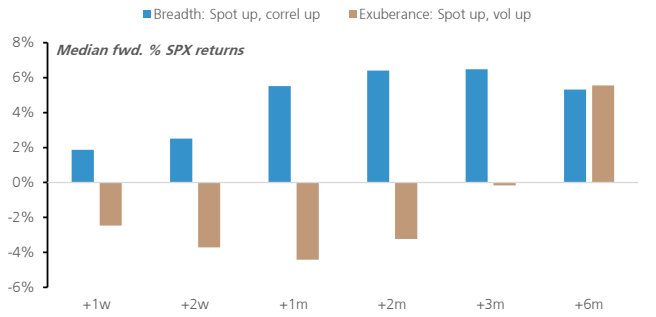
- **Index breadth-driven spot up, vol up:** SPX Oct 7800/8100 call ratio backspread (~1:3x ratio for flat premium; +23% net delta)

Figure 1: The US equity market is due for some breadth as Tech+ dominance and sharp rotations under the surface have manifested in record low correlations



Source: Bloomberg, UBS

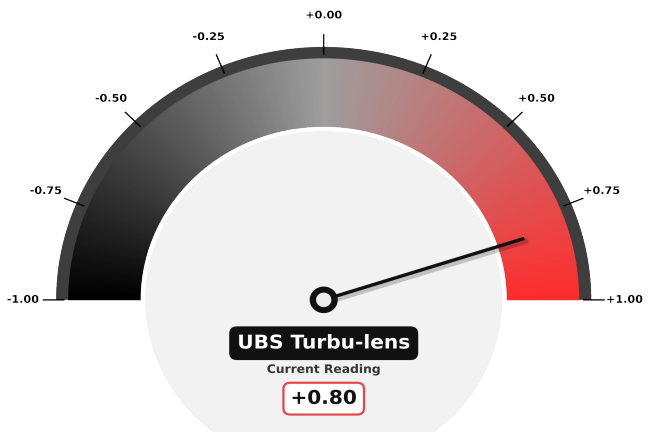
Figure 2: Spot up, vol up is historically unhealthy in the near-term; Spot up, correlation up signals increased breadth, and typically results in a healthier tape going forward



Source: Bloomberg, UBS; Screening for mutually exclusive periods where SPX daily log return is > +1%, and VIX + on day or vs. 1m earlier (for exuberance), or SPX 1m realized correlation + on day *and* vs. 1m earlier (for breadth); Periods coming out of a significant market drawdown excluded, defined as prior 1m SPX return < -3% or SPX < -5% below its prior 3m high; Data back to 1991; Past performance is not indicative of future results

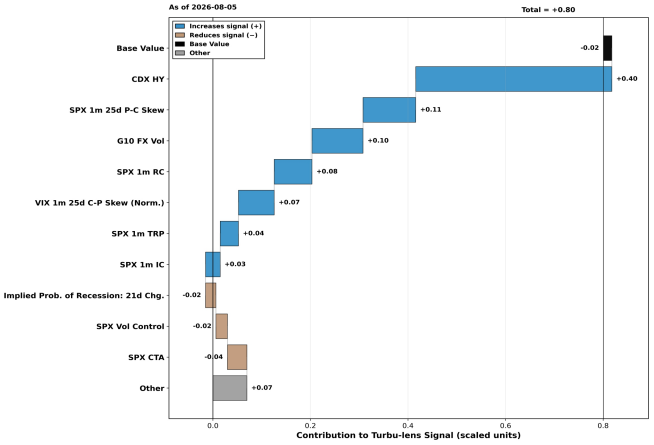
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Figure 3: UBS Turbu-lens has risen considerably over the past several trading sessions as investors have aggressively re-risked



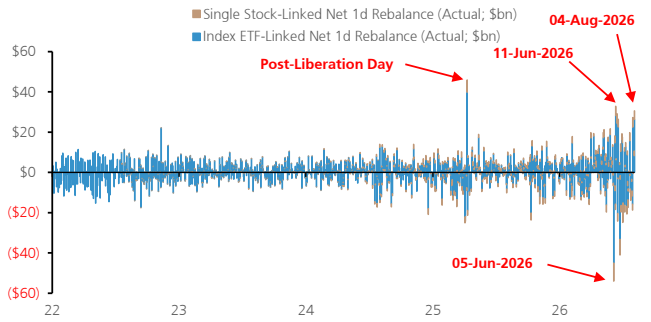
Source: Bloomberg, UBS; Ticker: UBSTLENS Index; Investors may reach out to request access; Signal reading a/o 05-Aug-2026

Figure 4: Middling systematic exposures (Volatility Control, CTA) are the only risk metrics holding the signal back



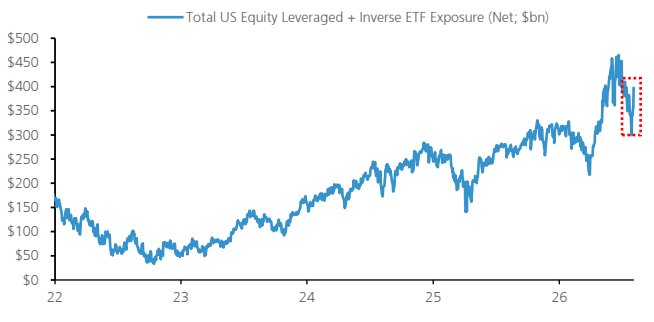
Source: Bloomberg, UBS; Ticker: UBSTLENS Index; Investors may reach out to request access; Signal reading a/o 05-Aug-2026

Figure 5: August 4th saw the 3rd largest leveraged ETF rebalance in history



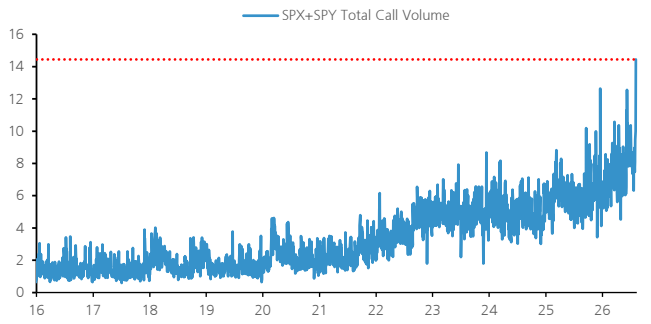
Source: Bloomberg, UBS

Figure 6: Leveraged ETF exposures have come back in force, but still off the early/late-June peak



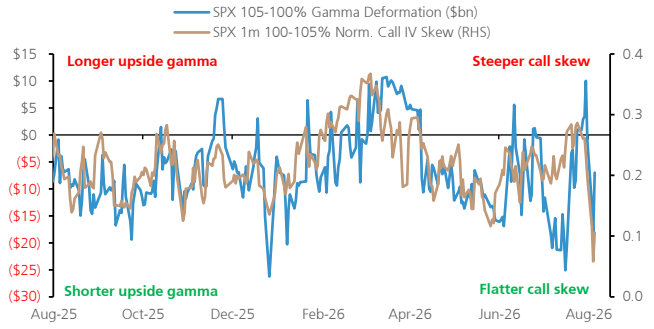
Source: Bloomberg, UBS

Figure 7: Record SPX + SPY call volumes witnessed on August 4th as investors cheered strong Tech+ earnings, waning geopolitical risk, and potentially higher breadth



Source: Bloomberg, UBS

Figure 8: Record SPX call demand has manifested in market makers being left short upside gamma, which could exacerbate a squeeze higher



Source: Bloomberg, CBOE, UBS; Please refer to disclaimer regarding use of Global Markets data/products

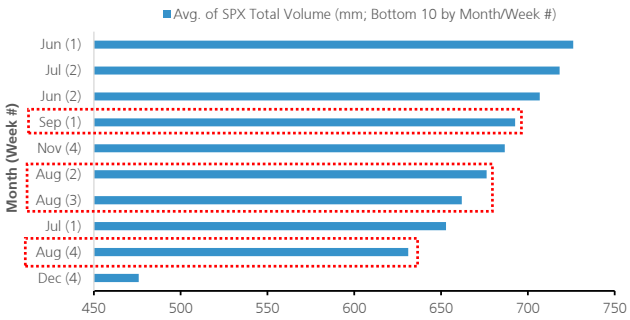
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Figure 9: VIX has historically risen into and through late Q3, before ultimately settling down into year-end



Source: Bloomberg, UBS; Past performance is not indicative of future results

Figure 10: Late August + early September are some of the lowest volume weeks of the year, which could further exacerbate moves



Source: Bloomberg, UBS; Data since 1990

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